

LEGAL ENTITY STRUCTURING PROPOSAL

TrueSight DAO — Prepared for SVH Capital Meeting, June 26

The Problem

No DAO legal wrapper — No member liability shield, no clear answer for "what entity do TDG holders govern?"

Personal bank account — Gary's personal account is the bottleneck. More volume = more personal risk.

The Solution

Form a Wyoming UNA via OtoCo this week. Cost: ~\$50 gas.

The UNA is a legal entity with liability protection for members, a clear answer for TDG holders ("you govern the UNA"), and no bank account needed — TrueTech Inc handles all money flows.

If we later hit 100+ members by mutual consent, we can elect to form a DUNA. But the UNA works today.

The Structure

Wyoming UNA (nonprofit, DAO legal wrapper) — formed this week for ~\$50

No bank account needed — TrueTech Inc handles all money flows

TDG holders govern the UNA (pseudonymous — wallet only)

Contractual relationship with TrueTech Inc

TrueTech Inc (Delaware C-corp, independent entity)

Own cap table and shareholders (Gary)

Own bank account — ALL money flows: commercial, partner contributions, buybacks

May buy back TDG at NAV using operating cash reserves (discretionary)

Buyback reserve formula published on truesight.me

Brazilian LTDA (CNPJ) = export facility (eventual future goal)

Key decisions (already resolved)

Decision	What
TrueTech Inc	Independent entity, not a DUNA subsidiary. Avoids UBIT.
Bank accounts	One account — TrueTech Inc handles everything. UNA doesn't need its own.
TDG buyback	TrueTech buys at NAV from operating cash. Formula on truesight.me. Discretionary.
Wise	Primary banking. \$0 to open. Handles transfers + PIX. Venmo/Zelle/Western Union manual.
Withdrawal flow	DApp request → TrueTech issues cash → TDG deducted → burned

What We're Doing This Week

Action	Cost	Timeline
Form UNA via OtoCo (2 wallets)	~\$50 gas	1 day
Open TrueTech Inc Wise Business	\$0	1-2 days

Total: ~\$50. We have ~\$4,126 in the Main Ledger.

Suggestion: If technology licensing revenue materializes (e.g. Bilal from Butterfly Effect Club wants his own Sophia instance), part of those proceeds — after covering TrueTech Inc's operational costs — could flow into the buyback reserve, increasing NAV per TDG. This aligns the technology's commercial success with contributor value without requiring the UNA to touch the money directly. Not a commitment — just a design option.

The One Question for SVH Capital

"We're forming a Wyoming UNA via OtoCo this week. TDG is issued to contributors for work and grants governance rights. An independent affiliated C-corp (TrueTech Inc) may, at its discretion, buy back TDG at net asset value (total DAO assets ÷ total TDG issued) from its own operating cash. Does TDG constitute a security under Howey?"

What We're NOT Doing (Yet)

Thing	Why Not	When
Impact fund channel	No committed backend	When a donation-type funder appears
UNA bank account	TrueTech handles all flows	Only if impact fund capital requires it
501(c)(3) application	\$2K-10K	6-12 months
Brazilian CNPJ ownership	\$1K-3K + counsel	Future
DUNA formation	Need 100+ members by consent	When eligible
Multi-entity accounting	\$2K-5K/yr	When revenue grows
VC investment	No retained asset base yet	If licensing revenue materializes